IMA FAST TRACK
6 MONTHS A/L
ENGLISH MEDIUM

Business Studies

Basis of Business and the Environment

ANJULA UDANI

GCE ADVANCED LEVEL ENGLISH MEDIUM

Lesson 1 - Basis of business and the environment

Concept of Business

- All the activities related to the production, distribution, selling of goods and services with a profit motive in order to satisfy human needs and wants can generally be defined as business.
    - There are businesses which fulfil the needs and wants **without a profit** motive. Ex : Red Cross, Leo club
    - Accordingly, a business is any economic activity which fulfils human needs and wants.

All the economic activities in order to satisfy human needs and wants called as a business.

- The physical and mental conditions which are compulsory to be fulfilled by humans are known as **Needs** - Food, clothes, house, education, health, communication, transport, safety are some of the needs.
    - Essential for survival
    - common to all

- **Wants** are the different ways of fulfilling the needs. - Rice, bread, string hoppers, tea are some of the examples of wants which fulfil the need of food.
    - Unlimited
    - varies from person to person
    - can be created by businesses
    - subjective

Needs	Wants
Food	Rice, bread, string hoppers, tea
Cloth	Saree, trousers, frock, sarong
House	Storied house, lodges, hostels, quarters,
Education	School education, education in pirivenas, private schools, educational courses, books
Health	Government hospitals, private hospitals, medicines, medical tests
Communication	Telephone, fax, email, internet facilities
Safety	Police, army, private security services

Goods	Services
• Tangible (Can be touched) • Can be stored. • Identical products can be produced. • Separable from the producer.	• Intangible (Cannot be touched) • Cannot be stored. • Varies according to service provider. • Inseparable from the service provider.

Needs	Wants
• Limited • Common to every person • Essential for survival • Cannot be created by businessmen • Cannot be changed by social forces.	• Unlimited • Differs from person to person • Not essential for survival • Can be created by businessmen • Can be changed by social forces.

Characteristics of a Business

- **Exchange or selling takes place.**

All the businesses sell or exchange goods and services for monetary value, buying or selling of a goods and services at a price is an essential factor of the business. If there is no such selling or exchange then there is no business activity. For example, cooking food for family members at home is not considered as a business whereas cooking food to sell is considered as a business.

- **Transaction of goods and services take place**.

All the businesses produce or purchase goods and services in order to sell others. They can be consumer goods or industrial (business) goods. Goods which are bought for final/end consumption such as bread, clothes, shoes are known as consumer goods. Goods which are bought for the production of consumer goods such as raw materials, machinery are known as industrial / business goods. Intangibles such as electricity, insurance, banking services are some examples for services.

- **Continuous transactions will take place.**

If the transaction of goods and services are done continuously for a long period of time, it is known as a business. If only one transaction takes place it is not considered under business. For example, if a person sells his old scooter which was used by him is not a business. But if he sells the scooters on a continuous basis it is a business

- **Motivated by profit / benefits.**

The basic goal of a business is to earn money and acquire wealth. A profit earned in terms of rupees and cents, an income more than the expenditure, building business relationships, generating business opportunities and providing social welfare are included in profit. Accordingly, there are profit motive businesses as well as businesses with nonprofit motive but motivated by benefits. Therefore, profit in the business field is essential for the expansion of a business

- **Has a risk.**

There are risks in the businesses due to the uncertainty in earning profit and the possibility of incurring a loss. Since the future of a business is uncertain, changes in the business environment, the inability to control the following facts which affect profit will create an uncertainty for a business.

a. Changes in consumer taste, design and demand.
b. Changes in production technology and machinery.
c. Increase in market competition.
d. Scarcity of raw material, power failure and shortage of fuel.
e. Employee problems and strikes.
f. Fire, theft, burglary and accidents.
g. Incorrect management decisions on using the business resources. Businesses always face risks. Having such risks is a characteristic of a business.

- **Creates wants**.

Businesses produce goods and services to satisfy human wants. Some businesses turn raw materials into finished goods to satisfy human wants. Some businesses satisfy human wants by transporting products from a place to a place where there is a high demand for the product. Some businesses satisfy human wants by storing at the time of harvesting in order to provide at the time of scarcity. Accordingly, every business creates human wants by providing goods and rendering services.

- **An economic activity**.

Businesses are essentially considered as economic activities since they produce goods and services using limited resources and engage in distribution activities. It is money oriented. Businesses are economic activities since they sell goods and services and use limited resources.

Main Activities of a Business.

• There are two main activities of a business.

- Fulfilment of needs and wants.
- Adding value to the resources. - Value addition is the increment of the value of resources which happens when the nature of the resource is changed during the production of goods and services. When businesses change the nature of the resources there will be a value addition. Accordingly, the value addition to the resources will be an activity of the business.

There can be various goals for a business, some of them are given below,

- Survival in the market.
- Profit maximization.
- Sales maximization.
- Increasing market share.
- Increasing consumer satisfaction.
- Maximizing the market value of shares.
- Personal satisfaction of businessmen.
- Social and community welfare.
- Employee welfare.
- Businesses also contribute to the existence of the economy.

  Examples:

  - Satisfying wants which are complex and changing.
  - Innovation.
  - Generating employment.
  - National economic development

Self-Sufficient Economic System

• There was a self-sufficient economic system in the past

• In that self-sufficient economic system, one produced his own requirements by himself.

• Producing his own requirement by himself is known as direct production.

• Specialization was developed through direct production.

• The result of personal specialization is the surplus of production.

• The surplus production caused the barter system.

• Barter system was the first stage of the evolution of business.

• Trade emerged with the barter system.

• Producing for the market is known as indirect production.

Drawbacks of the Barter System

- Lack of double coincidence of wants.
- Lack of a common measure of value.
- Indivisibility of certain goods.
- Difficulty in making deferred payments.
- Difficulty in storing value.

The Evolution of Money

1. Use of materials
    - Example: sea shells, tobacco

2. Use of metals
    - Example: metals such as gold and silver

3. Use of metal money
    - Values were imprinted on the face of metal pieces indicating the values. This became the base for the printed metal coins that came later.

4. Use of coins & notes
    - To rectify the inconvenience caused by using precious metals as money, notes and coins that don't contain intrinsic value came into use. This includes notes and coins issued by the government authority.

    Examples -:
    - Sri Lanka – Rupees
    - Great Britain – Pound
    - USA – Dollar
    - Countries in the European Union – Euro

5. Use of bank money
    - Usage of current accounts cheques

6. Use of electronic money
    - A method in which the transactions are done with computerized networks which was introduced by the development of information and digital technology.

    Examples –
    - Credit cards
    - Debit cards
    - Prepaid cards
    - Microchips or mobile cash

Evolution of Business

1. Batter system
2. Use of money
3. Industrial revolution
4. Information era

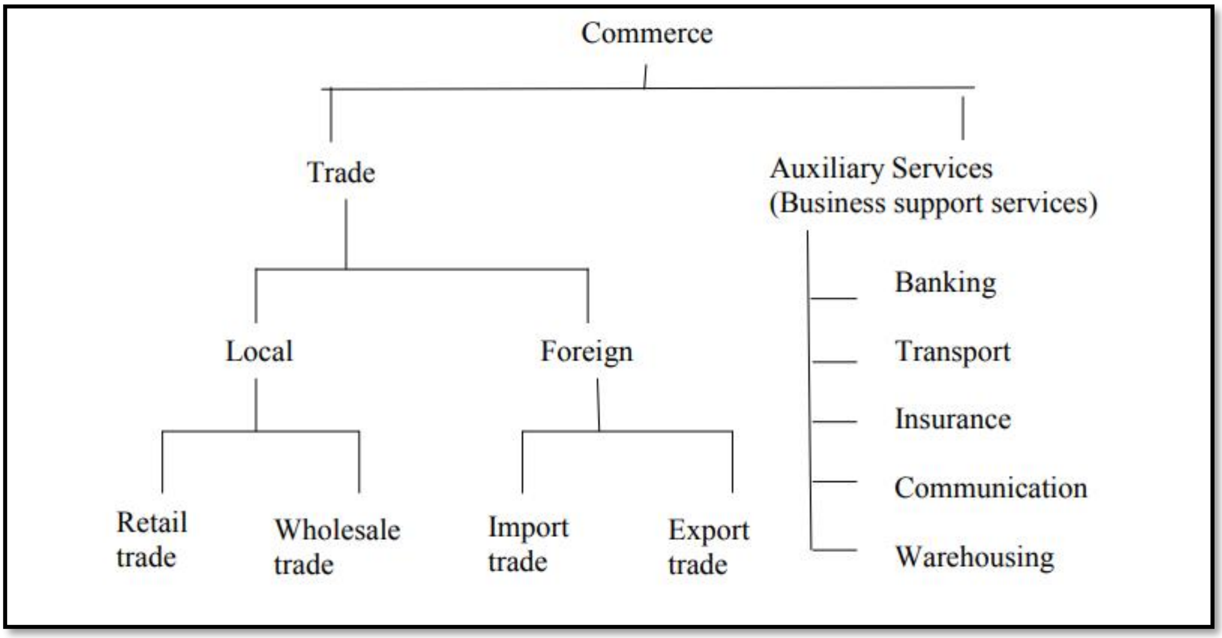
- With the industrial revolution in European countries, cottage industries converted into large scale industries and trade was expanded.

- There was a development in auxiliary services such as banking, transport, insurance, communication and warehousing due to the industrial revolution.

- Industrial revolution is the third stage of the evolution of business.

- Commerce is the combination of trade and support services.

(Commerce = Trade + Support Services)



Electronic Commerce and Electronic Business

- When buying and selling activities are conducted through internet, it is known as electronic commerce.
- When all the activities which belong to the business are conducted by the use of internet it is known as electronic business.
- Information era is the fourth stage of the evolution of business.

Reasons for the Popularity of Electronic Commerce

- Business information can be exchanged without documents
- Speeding up of business activities
- Minimizing operational cost and inventory costs
- Emergence of global market space
- Increase in the quality of goods and services
- Saving customers' time and energy
- Increasing computer literacy
- Improvement of infrastructure facilities

New Trends in the Business Field

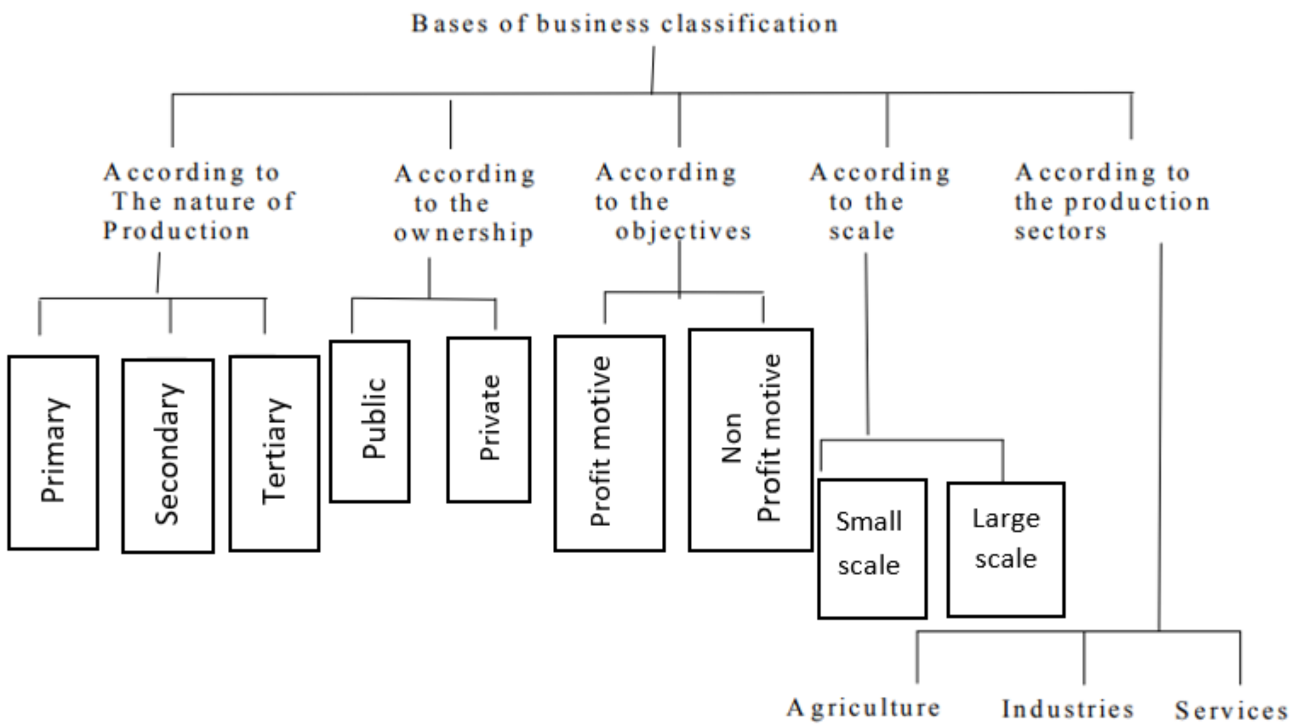
(Because of the improvements in the information technology at present)

- Expansion of globalization
- Emergence of electronic businesses
- Use of electronic money
- Concern on environment
- Concern on business social responsibilities

Classification of Business

Bases of Business classification

- According to the nature of the production.
- According to the ownership/ proprietorship.
- According to the goals.
- According to the scale.
- According to the production sector/source of production.
- Businesses can be classified as primary, secondary and tertiary according to the nature of production.



Accordingly, the businesses which extract the natural resources as its own form for production are known as the primary sector. The businesses which convert the natural resources into other productions are known as secondary sector and the businesses which provide service is known as tertiary sector.

- Primary Sector
  - Agriculture, forestry and fishing
  - Mining and quarrying

- Secondary Sector
  - Manufacturing industries
  - Construction industries

- Tertiary Sector
  - Electricity, gas providing steam and air conditioning
  - Clarification and distribution of water.
  - Banking, Insurance and real estate etc.
  - Ownership of dwelling.

- Businesses can be classified as private sector businesses and public (government) sector businesses according to ownership.

- Businesses can be classified as profit motive businesses and non-profit motive businesses according to the objectives.

- Businesses can be classified as small and medium scale businesses and large-scale businesses according to the scale.

- Businesses can be classified as agriculture, industries and services according to the production sector or source of industries.

- The sectorial composition of the GDP is published in the annual report of the Central Bank of Sri Lanka.

- Agriculture, livestock timber and forestry
    - Tea
    - Rubber
    - Coconut
    - Minor export crops
    - Paddy
    - Live stocks
    - Other faced crops
    - Plantation development
    - Timber and forestry
    - Other agricultural crops
- Fishing
    - Industry
- Mining and quarrying
- Manufacturing
    - Processing (Tea, Rubber, Coconut)
    - Manufacturing
    - Cottage industry.
- Electricity, Gas and water
    - Electricity
    - Gas
    - Water
- Construction Services
- Wholesale and retail trade
    - Import trade
    - Export trade
    - Domestic trade
- Hotels and restaurants
- Transport and communication
    - Transport
    - Cargo handling. Ports and Civil aviation
- Banking, Insurance, real estate etc.
- Ownership of dwelling
- Government service
- Private services

- Mining and quarrying come under primary sector, when classifying according to the nature of production, but mining and quarrying come under industries when classifying according to the source of industries.
- According to the nature of production electricity, gas and water come under the tertiary sector but according to the source of industries they come under industries.
- Inputs (resources) such as land, labor, capital, entrepreneurship, information, time, and knowledge are used for business activities.

<u>Consider an Institute that produces finished garments as an example.</u>

- ❖ Land - Land where building is situated, Ventilation, Sunlight (Natural light)
- ❖ Labor – Physical and mental labor of the tailor, Physical and mental labor of the supervisor, Mental labor of the managers, Labor of the watchmen
- ❖ Capital – Building, sewing machines, equipment, Distributing vehicles, Materials, thread, buttons, zips, Money
- ❖ Entrepreneurship – Decision maker of the combination of resources (Person who enjoys profits), Decision maker who undertakes risks, Individuals or institutes
- ❖ Information – Designs that suit with consumer taste, new information about raw materials, Information about new technology, Information about the market
- ❖ Time – Working hours of employees, working hours of machines, Time taken to make decisions
- ❖ Knowledge – Obtaining patents for new products, Skills of garment employees, Knowledge processed by managers, Knowledge of designing technicians, Law advice

Basic Functions of a Business.

- Administration, Production, Marketing, Financial activities, Human resource activities, Research and development are known as basic functions of business.

- Administration
  - Preparing garment employee s' files
  - providing relevant advice
  - Maintaining attendance sheets

- Production
  - Obtaining raw materials
  - Inventory control
  - Quality control

- Marketing
  - Distribution of garments
  - Advertising
  - Deciding of price

- Financial activities
  - Obtaining funds
  - paying salaries
  - Investing funds

- Human resource activities
  - Recruiting of employees
  - Training
  - Promoting

- Research and development
  - Conducting researches on new innovations
  - Improving the products
  - Exploring low-cost methods

- Management information activities
  - Maintaining information system
  - Obtaining new information
  - Updating the information

- Maintain documents related to business activities and maintaining communication are included in the Administration activities.
- Process that converts resources into goods or services is known as production (Operation)
- Identifying customer needs and wants and satisfying them are known as marketing.
- Obtaining and investing funds and other activities related to it is known as finance.
- Attraction, selection, recruitment, training, welfare activities are known as human resource activities.
- Improving the quality of products and innovating new products are included in research and Development.

Inputs / Resources

- Land
- Labor
- Capital
- Entrepreneurship
- Information
- Time
- Knowledge

Business Functions

- Administration
- Operations (Production)
- Marketing
- Financial activities
- Human resource activities
- Research and development
- Management information

Outputs

- Goods
- Services

Input (Resources)	Process	Output
Land – • Land where the bakery is located **Labour –** • Labour of the bakers **Capital –** • Building, oven, trays **Entrepreneurship** • Owner of the bakery/ the ability of the person who combines factors of production **Information –** • new technological methods • Market information **Time –** • Working hours of employees • Overtime work **Knowledge –** • Skills of the employees • Knowledge about new production	**Production –** • Obtaining the materials • Mixing the materials • Making bread **Marketing –** • Advertising • Distribution • Pricing **Administration–** • Preparing employees' files • Maintaining employees' attendance sheets **Financial activities-** • Obtaining funds needed • Purchasing assets • Paying for expenses **Human resource Activities** • Recruiting employees • Training • Promotion **Research and development activities–** • Conducting surveys • Conducting researches to improve the quality of the product	Bread Buns Cake (Bakery items)

Stakeholders of a Business

- Owners/shareholders
  - To know if they receive an adequate profit for the money they have invested, to find about the growth of the business, to know the market share

- Managers
  - To maximize the profit of the business
  - To know the growth of the business
  - To know the successfulness of the management decisions

- Employees
  - To obtain a higher salary
  - To obtain a bonus
  - To get promotions

- Creditors
  - To know the ability of recovering the loans
  - To know the safety of the lending
  - To ensure the safety of collaterals

- Customers
  - To receive quality goods and services
  - To see if the responsibilities are fulfilled properly
  - To ensure the existence of the business

- Suppliers
  - To receive continuous orders
  - To collect money back for the goods supplied

- Potential investors
  - To invest their resources in that business in future

- Government
  - To collect taxes/ to give tax reliefs
  - To improve the employment
  - To measure the economic development

- Community
  - To know about the environment protection
  - To obtain job opportunities

Lesson 1 Recap
Business Studies – Advanced Level (2025)
Fast Track 6 months A/L

Why business is looking for Stakeholders

- Owners
  - To increase the investment
  - To ensure the existence of the business
- Employees
  - To improve the employees' efficiency
  - To retain the employees
  - To get the employee attraction
- Debtors
  - To obtain the funds continuously
  - To obtain the funds at low cost
- Government
  - To get tax reliefs
  - To get infrastructure facilities
  - To obtain technological knowledge
- Customers
  - To protect the market of the relevant goods and services
  - To build up consumer confidence
  - To create consumer loyalty

Business Vision, Mission, and Objectives

This hierarchy defines an organization's purpose and direction.

The **Vision** is the ultimate, inspirational, long-term aspiration. It answers "What do we want to ultimately become or achieve?" and serves as a guiding star for the entire organization.

ANJULA UDANI
Assistant Lecturer (Temporary) USJ
Bsc Management Public Special (First - Class Honours)USJ
CIMA Partly Qualified (Managerial Level), AAT Passed finalist
0715 909030

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The **Mission** is a practical statement of the organization's core purpose and focus. It answers "Why do we exist? What do we do? Who do we serve?" and defines the present business scope.

Objectives are the broad, long-term outcomes needed to fulfill the vision.

Goals (or SMART Goals) are specific, tactical, and quantifiable short-term targets that act as stepping stones to achieve the objectives.

Examples:

- Vision Example - Google: "To provide access to the world's information in one click." This is a broad, inspirational, and seemingly endless goal that sets a direction.
- Mission Example - Google (parent company Alphabet): "To organize the world's information and make it universally accessible and useful." This clarifies how they work toward the vision: by organizing information to make it accessible and useful.
- Objective Example (derived from the mission): "Develop and maintain the world's most powerful and accurate search index."
- Goal (SMART) Example: "Improve the speed of search result delivery by 20% for mobile users in Southeast Asia by the end of Q4."

Products

In modern marketing, a "product" is anything of value that can be offered to a market to satisfy a want or need. It extends far beyond physical items to include intangible offerings.

Examples:

- Goods (Tangible Products): A Dyson vacuum cleaner, a Levi's jeans, a Sri Lankan "Ceylon Tea" packet. These are physical objects you can touch and own.
- Services (Intangible Activities): A doctor's medical consultation, a Spotify Premium music streaming subscription, a bank granting a loan. The value is in the performance or access provided.

- Ideas (Concepts & Philosophies): A consultant's proposed business restructuring plan, a public service campaign promoting "Reduce, Reuse, Recycle." The core product is the intellectual concept.
- Experiences (Memorable Engagements): A cooking class with a Michelin-starred chef in Tuscany, a hot-air balloon ride over Cappadocia, a VIP backstage tour at a concert. The product is the curated memory and feeling.
- Events (Time-based Occasions): The FIFA World Cup, CES (Consumer Electronics Show), a local music festival. The product is the temporary gathering itself.
- People (Personal Branding): Lionel Messi (sports icon), Oprah Winfrey (media personality), a management guru hired to motivate a company's employees. Their talent, fame, or expertise is the product.
- Places (Destinations): "Pure New Zealand" tourism campaign, "Explore Georgia" tourism board, a real estate developer selling a new waterfront community. The location, its attributes, and its promise are the product.
- Organizations (Entities & Causes): World Wildlife Fund (WWF) (conservation), TED (ideas worth spreading), your university's alumni association. The entity's mission, network, or community is the product.
- Information (Processed Data): A subscription to The Wall Street Journal, a Mintel market research report on Gen Z consumers, Google Analytics data. The product is actionable knowledge.
- Property (Intangible Rights): A stock certificate for Apple Inc., a software license for Microsoft Windows, a mineral rights deed for a plot of land. The product is the legal claim to an asset or its use.

Markets & Classifications

A market is any arena (physical or virtual) where buyers and sellers come together to exchange goods, services, or information for value. It also refers to the specific group of potential customers for a product.

ANJULA UDANI
Assistant Lecturer (Temporary) USJ
Bsc Management Public Special (First - Class Honours)USJ
CIMA Partly Qualified (Managerial Level), AAT Passed finalist
0715 909030

Examples:

- Marketplace (Physical Location):
  - A tangible, geographical location where transactions occur face-to-face. Interaction is sensory (touch, smell, trial), and operating hours are limited.
    - **Examples**: A Saturday morning vegetable market in Pettah, a brick-and-mortar bookstore like Barnes & Noble, a shopping complex like Majestic City.
- Market Space (Digital/Virtual Platform):
  - An electronic, non-physical environment facilitated by the internet. It operates 24/7, allows for global reach, and interaction is mediated through digital interfaces.
    - **Examples**: The Amazon.com website, a trading platform like the New York Stock Exchange (now largely digital), a mobile app like Uber connecting riders with drivers.

E-Commerce Models

Refers to the process of conducting business transactions electronically, primarily over the internet. The models are defined by the participants involved in the transaction.

Examples:

- B2B (Business-to-Business): A paper manufacturer selling bulk supplies to a textile printing company. A company like Salesforce selling its CRM software to other businesses.

- B2C (Business-to-Consumer): Amazon selling a book directly to you. Spotify offering a monthly subscription to an individual user.

- C2C (Consumer-to-Consumer): Selling your old bicycle on eBay or Ikman.lk to another individual. Renting out your apartment on Airbnb to a traveler.

- G2C (Government-to-Citizen): The Department of Immigration and Emigration allowing online visa applications. Paying your electricity bill via the Lanka Electricity Company (LECO) online portal.

- B2G (Business-to-Government): An IT firm bidding on and winning a contract to develop a software system for the Ministry of Health via an e-procurement site.

ANJULA UDANI
Assistant Lecturer (Temporary) USJ
Bsc Management Public Special (First - Class Honours)USJ
CIMA Partly Qualified (Managerial Level), AAT Passed finalist
0715 909030

- G2B (Government-to-Business): The Sri Lanka Customs providing an online portal ("Sri Lanka Customs E-Services") for businesses to submit import/export documentation and make payments.
- C2G (Citizen-to-Government): An individual filing their annual income tax return through the Inland Revenue Department's online system. Paying a parking ticket online through a municipal website.

Modern Business Challenges & Trends

The external and internal forces shaping how businesses operate today. Challenges are problems or pressures to overcome, while Trends are significant shifts in the business environment that companies must adapt to for success.

Examples of Challenges:

- Customer Empowerment: Consumers use social media to publicly praise or criticize brands (e.g., a viral tweet about great or terrible customer service), forcing immediate corporate response.
- Strict Environmental Rules: A manufacturing plant being required to invest millions in new water treatment facilities to comply with updated environmental protection regulations.
- Rapid Tech Change: The rise of AI forcing marketing agencies to retrain staff, adopt new tools, and redefine service offerings to stay competitive.

Globalization

The process by which businesses, cultures, and economies become integrated on a worldwide scale through trade, investment, technology, and the flow of information.

- Pros (Opportunities): A tech startup in Nigeria can use cloud computing services (like AWS) from the USA and sell its app globally through the Apple App Store.
- Cons (Threats): Local handicraft artisans in a small country struggle to compete with cheap, machine-made replicas imported from large factories abroad.

Examples of Current Trends:

- E-Money & Digital Payments: The widespread adoption of QR code payments (like Alipay), Central Bank Digital Currencies (CBDCs), and peer-to-peer (P2P) payment apps like Venmo or PayPal.
- CSR & Green Products: A company like TOMS Shoes operating on a "One for One" model (donating a pair of shoes for every pair sold). Supermarkets offering extensive lines of organic and locally-sourced produce.
- Outsourcing & Digitalization: A small business using cloud-based software (like Google Workspace or QuickBooks Online) instead of maintaining its own servers and IT staff. Companies outsourcing social media management to specialized digital marketing agencies.
- Sustainable Development: Automotive companies like Volvo committing to fully electric vehicle lineups by 2030. Construction companies using green building materials and designing for net-zero energy consumption.

Business Environment

- The environment, in which the factors which influence the business operates is known as business environment.
- Factors of business environment can be categorized into two.
    - Internal Environment
    - External Environment
- The forces and conditions that influence and exist within an organization are known as Internal environment.
- All forces that influence and exist outside of an organization are known as External environment.

- The specific organizations or groups that influence and belong to external environment of the business are known as immediate environment. (Task environment)

- The broad environment of a business and influential groups related to it are known as macro environment or general environment.

Business Environment

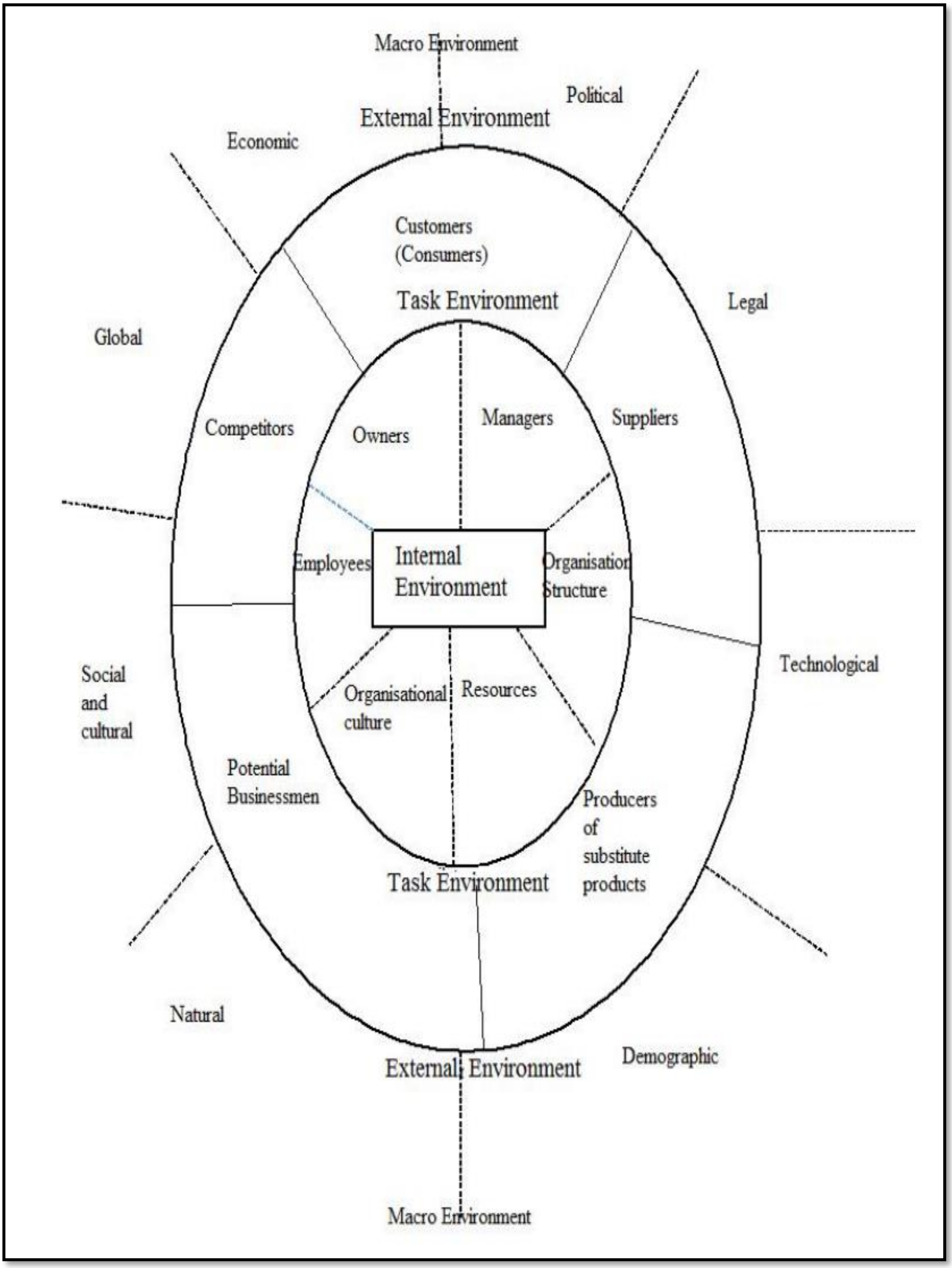
- **Internal Environment**
  - Owners
  - Managers
  - Employees
  - Organisation structure
  - Organisation culture
  - Resources
- **External Environment**
  - **Immediate Environment**
    - Customers
    - Suppliers
    - Competitors
    - Producers of substitute products
    - Potential businessmen
  - **Macro Environment**
    - Economic Environment
    - Political Environment
    - Legal environment
    - Demographic environment
    - Technological Environment
    - Natural Environment
    - Social and cultural environment
    - Global Environment

Benefits that a businessman get by studying business environment

- To identify strengths
- To identify weaknesses
- To identify business opportunities
- To identify threats

ANJULA UDANI
Assistant Lecturer (Temporary) USJ
Bsc Management Public Special (First - Class Honours)USJ
CIMA Partly Qualified (Managerial Level), AAT Passed finalist
0715 909030

Classifications of business environment can also be shown through the following



❖ In business factors such as,
  - Owners
  - Managers
  - Employees
  - Organization culture
  - Organization structure
  - Resources

can be shown as internal environmental factors.

❖ The party, who contributed resources or invested funds in a business and endures profits or losses are owners.

❖ The party who formulates business plans and makes decisions is the managers.

❖ The party, who is engaged on relevant works according to the plans and decisions made by the top managers, is employees.

❖ The organization culture is the beliefs, values, attitudes, norms, habits, behavioral patterns that are shared among everyone in the business and which will be handed over to future generation.

❖ The way in which the functions, resources and authority of a business are distributed to achieve the objective of a business easily is organization structure.

❖ Everything such as land, labor, capital, entrepreneurship, time, information and knowledge that are used as inputs for producing goods and services are resources.

Environmental Factor	Strengths	Weaknesses
Owners	• Having a larger number of them. • Their increased financial strength. • Their increased knowledge and experience.	• Having a smaller number of them. • Decreased financial strengths in them. • Lack of knowledge and experience in them
Managers	• Their increased training and experience. • Ability to take correct decisions.	• Decreased training and development. • Being backward to take decisions. • Taking wrong decisions.
Employees	• Having clever experienced employees. • Having versatile abilities in them. • Having good attitudes in them. • Having motivated employees.	• Having inexperienced employees. • Having irresponsible and unaccountable employees. • Having unfavourable working habits in them • Having negative attitudes in them. • Having inefficient employees.
Organization culture	• Having a positive evaluation and value system. • Having an inherent, developed ethics and habits.	• Not having an established value system and ethical system. • Not having a high supervision.
Organization structure	• Proper division of work. • Proper building up of the organization.	• Having conflicts among roles. • Lack of coordination among sections.
Resources	• Quantitativeness • Qualitativeness	• Having outdated resources • Lack of resources • Not having enough resources.

Task Environmental Forces of a Business.

- Customers (Consumers)
- Suppliers
- Competitors
- Producers of substitute products
- Potential businessmen

- Buyers of the goods and services of a business are the consumers.
- Factors such as, awareness of consumers, income of consumers etc. will create opportunities for some businesses and will create threats for some business.
- Individuals and institutions that provide resources needed for a business are suppliers.
- Factors such as, providing or not providing quality materials in time by suppliers, giving or not giving discounts etc. create opportunities as well as threats to a business.
- The business that provides similar goods and services as that of the business are competitors of the business.
- Entry of new competitors to the market, existing competitors leaving the market, providing different facilities with goods and services by competitors etc. create opportunities as well as threats for a business.
- Those who supply alternative products or services for the product that the business supply are the producers of substitute products.
- While the availability of plentiful substitute products is a threat to a business, it also creates other business opportunities.
- Those who expect to enter the market create opportunities and threats as well.

Macro Environmental Forces

- ❖ Economic environment
- ❖ Political environment
- ❖ Legal environment
- ❖ Technological environment
- ❖ Demographic environment
- ❖ Natural environment
- ❖ Social and cultural environment
- ❖ Global environment

Political Environment

- Government agencies, political policies of existing government affect businesses.

Examples:

- ❖ Government's political vision and policies
- ❖ Following open economic policies.

- Businesses should try to get use of the opportunities and face threats implied from this environment.

Legal Environment

- Government acts, rules and regulations will have an impact on the businesses in that country.
    - ❖ Consumer affairs authority act
    - ❖ Labor rules and regulations
    - ❖ Sri Lankan standard act

- Businesses should try to conduct business activities according to these rules and regulations and face the opportunities and threats implied from this environment.

Economic Environment

- While the purchasing power of people influence the existence of businesses, the cost that have to be incurred for business activities also depend on economic factors.

Examples:

- ❖ Inflation, interest rate, gross national product, employment, cost of living, inequality in income distribution savings, investments.

- ❖ While these factors influence businesses, businesses should try to take advantage of the opportunities and face threats which will arise from that environment.

Social and Cultural Environment

- Beliefs, social ethics etc. that individuals possess are included in social and cultural environment.

Examples:

- ❖ Beliefs of individuals
- ❖ Values of individuals
- ❖ Customs
- ❖ Wishes
- ❖ Religious beliefs

- While these factors impact on businesses, business activities should be carried out adhering to these factors.

Technological Environment

- Trends in communication technology and the changes that have happened in agricultural, industrial and medical sector belong to technological environment.

Examples:

- ❖ New technical inventions
- ❖ Rapid change in technology
- ❖ Changes in communication technology
- ❖ Expiry of products

- Business should try to get the use of opportunities and face threats which implies from the changes in technological environment.

Demographic Environment

- The main factor that connects with businesses is population. That is, market is made up of persons.

Examples -:

- ❖ Size of the population
- ❖ Growth rate of population
- ❖ Gender
- ❖ Age structure
- ❖ Composition of ethnicity
- ❖ Level of education
- ❖ Composition of family
- ❖ Household patterns

- Business should try to make use of opportunities and avoid threats.

Natural Environment

- Today, there is a global awareness on the damages caused to natural resources.
- Business activities in many countries have polluted air, water and land.
- Rules and regulations have been imposed to conduct business activities in order to protect the natural environment.

- Changes in natural environment will impact on businesses.

Example -:

- ❖ Finding new natural resources
- ❖ Changes in weather and climate
- ❖ Location of the land
- ❖ Natural disasters

- A businessman should try to make use of opportunities and face threats that imply in natural environment.

Global Environment

- There are greater opportunities to exchange goods and services from the time of globalization.

- The culture of individuals has changed as well. As a result, different kinds of goods and services have entered the world market. Tough competition can also be seen.

Example:

- ❖ Trade agreements are signed
- ❖ Trade blocs being created
- ❖ Formation of world organization
- ❖ Creating rules and regulations internationally

- A businessman should try to make use of opportunities and face threats that imply in global Environment.

The Impacts of Macro Environmental Forces On the Business

- ➢ Under the demographic environment, the demand for goods and services is increased because of the increase in population which will create opportunities to businesses.

- ➢ In the same way, decrease in population will decrease the demand which will create threats to businesses.

- ➢ Under economic environment, a decrease in interest rate results in increase in borrowing loans which will create opportunities to businesses. Similarly, increase in interest rate limits the borrowing of loans and businesses have to face threats.

- Under the political and legal environment, imposing favorable rules and regulations for businessmen will create business opportunities and imposing unfavorable rules and regulations will cause businesses to face threats.

How Macro Environment Shapes Opportunities and Threats for Businesses

- Increase in price level of goods and services will cause the increase in price of goods and services supplied by suppliers.

- Similarly increase in salary level will increase the income of customers, (consumers) who is a force in task environment, which will increase the demand for goods and services.

The following examples clarify that there are interconnections among macro environmental forces.

- Gem mines belong to natural environment. But to make it a business activity, one has to take legal approval.
- When commercial banks install ATM machines for the convenience of customers, they should get the approval from the central bank.

Accordingly, even though macro environmental forces are illustrated separately; it is clear that there are interconnections between them.